Quillwood Credit Partners

Origination and credit | Internal working paper

Quarterly Portfolio Review Memo Q3 2026

Whole of book review at 30 September 2026, with watchlist update

Prepared for: Investment Committee, Quillwood Credit Partners

Prepared by: Portfolio Management

Date: 2 October 2026

Version 1.0, confidential

Reference: QCP-PM-QPR-2026-Q3

Date: 2 October 2026

Synthetic - for demonstration. All names, entities and figures are fictional.

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From	Quillwood Credit Partners, Portfolio Management
To	Investment Committee
Date	2 October 2026
Subject	Quarterly portfolio review, quarter ended 30 September 2026
Watchlist facility	Calder Hills Pty Ltd (ABN 88 473 105 274), Hornsby NSW, ref QCP-RE-2024-0211
Watchlist facility	Tasman Freight Pty Ltd, transport and logistics, NSW
Version	1.0

Memo details

1. Purpose and summary

This memo reports on the whole loan book at 30 September 2026. It covers portfolio size, sector and state concentration against limits, covenant headroom on selected facilities, and the two facilities on the watchlist.

- The book has 40 performing facilities with A$2,776.8M committed and A$2,081.9M drawn, a utilisation of 75.0%.
- Two facilities are on the watchlist: Calder Hills (A$62.0M limit, fully drawn) and Tasman Freight (A$38.7M limit, A$31.1M drawn). Together they represent A$100.7M of commitments, or 3.6% of the performing book, and A$93.1M drawn, or 4.5%.
- Calder Hills matures on 30 November 2026 and the borrower has asked for a six month extension. The request is the main decision item in this memo.
- All sector and state exposures remain inside their limits. NSW is the closest to its limit, at 86.9% of the limit used.

2. Portfolio position

Committed exposure by sector, including four pipeline deals totalling A$580.0M, is set out below. The pipeline deals are approved or in documentation but are not yet performing facilities, so they are excluded from the 40 facility count and from drawn balances.

Sector	Committed (A$M)
Real estate	1,515.5
Corporate	1,454.3
Infrastructure	387.0
Total including pipeline	3,356.8
Less four pipeline deals	(580.0)
Performing facilities (40)	**2,776.8**

Table 1. Committed exposure by sector at 30 September 2026

Of the performing commitments, A$2,081.9M is drawn and A$694.9M is undrawn. The pipeline equals 20.9% of performing commitments, so its settlement would change the sector and state mix. Each pipeline deal will be tested against the concentration limits at approval and again before first drawdown.

3. Sector and state concentration

The table uses the 30 June 2026 exposures and limits in the July 2026 portfolio concentration limits note. We have identified no movement in these positions at 30 September 2026, so the figures are unchanged. Percentages are shares of the performing book.

Sector or state	Exposure	Limit	Limit used
Build-to-rent	15.1%	22%	68.6%
Healthcare	13.4%	20%	67.0%
Transport and logistics	6.0%	10%	60.0%
Childcare	6.0%	8%	75.0%
Land subdivision	4.6%	7%	65.7%
NSW	36.5%	42%	86.9%
QLD	23.8%	30%	79.3%

Table 2. Exposure against concentration limits

NSW has the least headroom, at 5.5 percentage points. Childcare has the least headroom of the sector limits, at 2.0 percentage points. Both Calder Hills and Tasman Freight are NSW exposures, so a deterioration in either would not reduce NSW concentration unless the loans were repaid. Build-to-rent has 6.9 percentage points of headroom, which is adequate for the current pipeline but should be confirmed deal by deal.

4. Covenant headroom

The table shows headroom on selected facilities against the most recent tested covenants. Calder Hills figures are at 30 September 2026. Other facility figures are from the latest compliance certificates held.

Facility	Covenant	Requirement	Actual	Headroom
Calder Hills	LVR (as is valuation)	Max 55.0%	30.2%	24.8 pts
Calder Hills	ICR (annualised quarterly)	Min 1.25x	1.28x	0.03x
Tasman Freight	Net debt to EBITDA	Max 3.50x	3.10x	0.40x
Tasman Freight	ICR	Min 2.50x	3.05x	0.55x
Merrin Health	LVR	Max 60.0%	47.5%	12.5 pts
Banksia Early Learning	ICR	Min 1.50x	1.92x	0.42x
Ridgeline Estates	LVR	Max 65.0%	52.0%	13.0 pts

Table 3. Covenant headroom on selected facilities

The Calder Hills ICR is the tightest covenant in the book. Tasman Freight covenants are tested on a trailing basis and do not yet reflect the lost contract, so the headroom shown is likely to overstate the position going forward.

5. Watchlist: Calder Hills

5.1 Facility and request

Calder Hills Pty Ltd, sponsored by Calder Property Group, owns a 196 apartment build-to-rent building in Hornsby, NSW. We provided a senior secured lease-up facility with a limit of A$62.0M, fully drawn since financial close on 31 March 2026. Interest is 3-month BBSW (3.85%) plus a margin of 4.60%, paid monthly in cash, and we hold an interest reserve of A$1.9M. Maturity is 30 November 2026.

On 2 October 2026 the sponsor asked us to extend maturity by six months to 31 May 2027. In return it offers an extension fee of 0.50% of the limit (A$0.31M), a top-up of the interest reserve to A$2.5M, a 100% sweep of surplus net operating income, and a sponsor guarantee of interest for the extension period. It has asked for a response by 31 October 2026.

5.2 Leasing and valuation

At 30 September 2026, 140 of 196 apartments were leased, an occupancy of 71.4% against the plan of 88% for September. The shortfall is 16.6 percentage points. The leasing agent has lifted incentives from two to four weeks of free rent to compete with two new buildings nearby. Effective two-bedroom rent is A$1,085 a week against a budget of A$1,120, which is 3.1% below budget.

Westgate Valuation Advisory valued the property at A$205.0M as is at 30 September 2026, down A$6.5M from A$211.5M at practical completion. The value on stabilisation is A$212.0M. Loan to value is 30.2% on the as is value, against a 55.0% maximum, and would be 29.2% on the stabilised value. Security cover is not the concern.

5.3 Cash flow and covenants

Annualised net operating income is A$6.71M against annualised interest of A$5.24M, giving an ICR of 1.28x against a 1.25x minimum. Net operating income could fall by only about 2.4% (A$0.16M) before the covenant is breached. Stabilised net operating income is forecast at A$8.61M, so cover improves only as occupancy rises. The reserve of A$1.9M covers about 4.4 months of interest, and the proposed A$2.5M covers about 5.7 months. The compliance certificate for the quarter has not yet been received, and the figures above are as reported by the borrower.

5.4 Exit

Northbridge Living Fund has offered A$214.0M for the completed asset, conditional on occupancy of at least 92% for two consecutive months. The leasing agent forecasts 93% in April 2027 if current leasing rates hold. That is after the current maturity and leaves a narrow window before 31 May 2027 to meet the condition and settle. A leasing shortfall of even a month or two would put the exit beyond the extended maturity.

5.5 Portfolio Management view

The facility remains on the watchlist. Refinance risk at 30 November 2026 is real, but collateral cover is strong and the sponsor is offering meaningful support. We recommend that the Committee consider the extension, with the final terms to be taken to a separate credit paper. We suggest the following be considered in that paper:

- Monthly leasing, rent and incentive reporting from the leasing agent, with an ICR forecast.
- A valuation refresh before 31 March 2027.
- A sponsor guarantee of interest that is enforceable and supported by evidence of the sponsor's liquidity.
- Consideration of a margin step-up if the Northbridge condition is not met by 30 April 2027.
- A clear plan for repayment if the sale does not proceed, including a refinance timetable.

6. Watchlist: Tasman Freight

Tasman Freight Pty Ltd is a transport and logistics operator in NSW, with a limit of A$38.7M and A$31.1M drawn. It has been added to the watchlist for customer concentration after losing a contract. Transport and logistics is 6.0% of the book against a 10% limit, so sector headroom is comfortable.

Covenants are in compliance on trailing figures, as shown in Table 3, but they do not yet reflect the lost revenue. We have asked the borrower for revenue by customer, a pro forma covenant calculation for the next two test dates, and its plan to replace the volume. We will report back to the Committee next quarter, or earlier if a covenant is forecast to be breached.

7. Next steps

Action	Owner	Due
Obtain Calder Hills compliance certificate	Portfolio Management	On receipt
Credit paper on Calder Hills extension	Credit	Before 31 Oct 2026
Respond to sponsor on extension	Portfolio Management	31 Oct 2026
Tasman Freight pro forma covenants	Portfolio Management	Next test date
Test pipeline deals against limits	Credit	At approval

Table 4. Actions arising from this review

8. Sign-off

Prepared by	Portfolio Management, Quillwood Credit Partners
Reviewed by	Head of Portfolio Management
Approved for circulation	Chief Credit Officer
Date	2 October 2026

Sign-off